

HSBC & STAN

Assessing what's in the price amid Middle East and private credit concerns

HSBC and STAN have corrected 15%/17% MTD vs HSI -3%, with the latest 26E P/B multiples at 1.0x/1.5x, respectively. This reflects investor concerns over the impact of Middle East conflicts and risks associated with private credit exposures. In this note, we conduct a scenario analysis that assumes: a rise in impairment charges due to credit loss on Middle East loan exposure, an additional 5bps credit cost from management overlays to reflect global macro risks, a 20% profit loss from the Middle East, and a 10% loss on private credit exposure. The aggregate impact on 2026E EPS/ROTE is -10%/-180bps for HSBC and -14%/-184bps for STAN, with STAN appearing more vulnerable to Middle East conflict and HSBC more exposed to private credit risk (see Table 1). Based on the oil price forward curve (Figure 4) and the historical PB/ROE trends for HSBC and STAN (Figure 2-Figure 3), we believe the plausible downside scenarios are already fairly priced in. For investors who concur that our stress scenarios adequately capture the potential risks, we believe now is an opportune time to build positions in HSBC and STAN, given that our medium- and long-term investment theses remain intact and total return is projected at ~7% even under these stress scenarios.

- **Updating HSBC estimates post 4Q25 and new guidance:** We have raised HSBC's EPS by 10%/13%/15% for 2026E/2027E/2028E, mainly supported by an upward revision in banking net interest income. Our analysis (Table 7) indicates that even with three additional rate cuts, downside risk to our FY26 banking NII forecast of \$45.7bn remains limited. We project credit costs to remain stable at around 40bps for 2026E-2028E, with ROTE forecast at 17.4%/17.8%/18.1%, respectively.
- **Assessing downside risks from Middle East conflicts:** For HSBC, the Middle East region contributed 3.6% of PBT in 2025; including Egypt, Turkey, and associate income from its 31% stake in Saudi Awwal Bank, total PBT contribution reached 8.7%. For STAN, the Middle East accounted for 11.9% of PBT. Our stress test assumptions include: (a) a 5bps increase in credit cost from management overlays due to global macro risks; (b) a 10% loss ratio on Middle East loans (excluding government and bank exposures); and (c) a 20% downside to PBT from the Middle East. The aggregate negative impact on 2026E EPS is estimated at -5% for HSBC and -9% for STAN.
- **Assessing downside risks from private credits:** Private credit exposure via non-bank financial institutions (NBFIs) accounts for 2.0% of HSBC's and 1.2% of STAN's loan books. In our stress analysis, a 10% loss ratio would reduce 2026E EPS by 6% for HSBC and 5% for STAN.
- **There is greater potential for both upside and downside in STAN's share price,** given its higher exposure to the Middle East, as well as emerging Asian economies, which are more sensitive to a surge in energy prices. Additionally, STAN's management is expected to update the market on its new three-year ROTE targets in May, whereas HSBC has already provided its medium-term ROTE guidance in February. As a result, STAN has more potential catalysts for share price movement in the near term compared to HSBC.

See page 21 for analyst certification and important disclosures, including non-US analyst disclosures.

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Equity Ratings and Price Targets

Company	Ticker	Mkt Cap (\$ mn)	Price CCY	Price	Rating		Price Target		
					Cur	Prev	Cur	End Date	Prev End Date
HSBC Holdings plc (0005)	5 HK	277,801	HKD	124.80	OW	n/c	180.00	Dec-26	165.00 n/c
Standard Chartered Plc (HK) (2888)	2888 HK	48,929	HKD	165.00	OW	n/c	270.00	Dec-26	n/c n/c

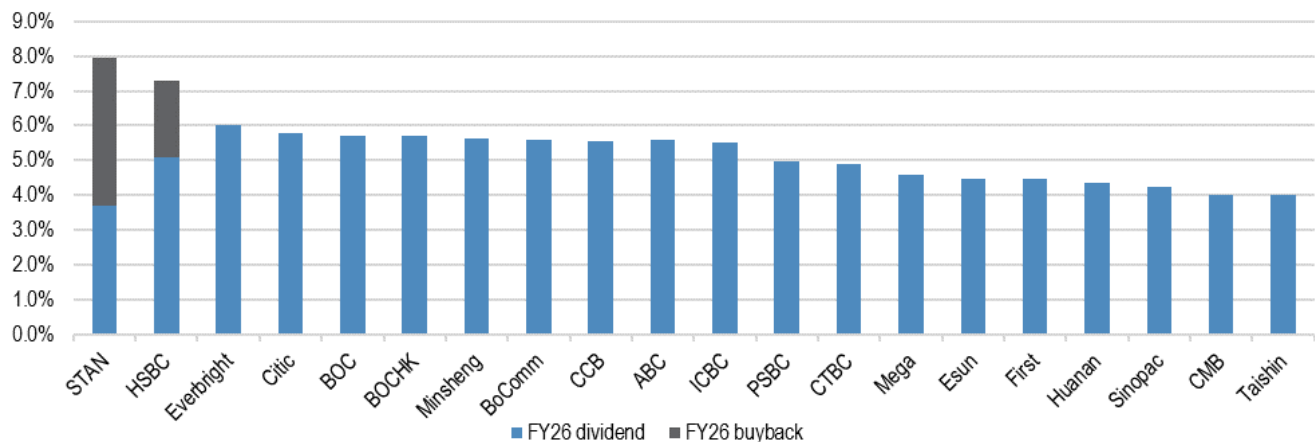
Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. n/c = no change. All prices as of 17 Mar 26.

Table 1: Quantifying potential downsides from the Middle East conflict and private credit risk

In US\$ mn, as of 2026E	HSBC	STAN	Note
Potential impact to net profits from the Middle East conflict	(1,375)	(474)	Assume 5bps incremental credit costs as general provision, 10% loss ratio for at-risk Middle East exposure (30%) and 20% downside from Middle East PBT; See Table 4 for details
Potential impact to net profits from private credit exposure	(1,601)	(252)	Assume 10% write-down for private credit exposures; See Table 6 for details
Aggregate net profits downside	(2,976)	(726)	
Base case			
Net profits	28,787	5,042	
ROTE	17.4%	12.8%	
ROE	16.0%	11.0%	
Total shareholder return	7.3%	7.9%	
Proforma			
Net profits	25,810	4,316	
ROTE	15.6%	10.9%	
ROE	14.4%	9.4%	
Total shareholder return	6.8%	7.3%	
Impact			
Impact to EPS	-10.3%	-14.4%	
Impact to ROTE	-180 bps	-184 bps	
Impact to ROE	-166 bps	-159 bps	
Total shareholder return	-0.5 ppt	-0.5 ppt	

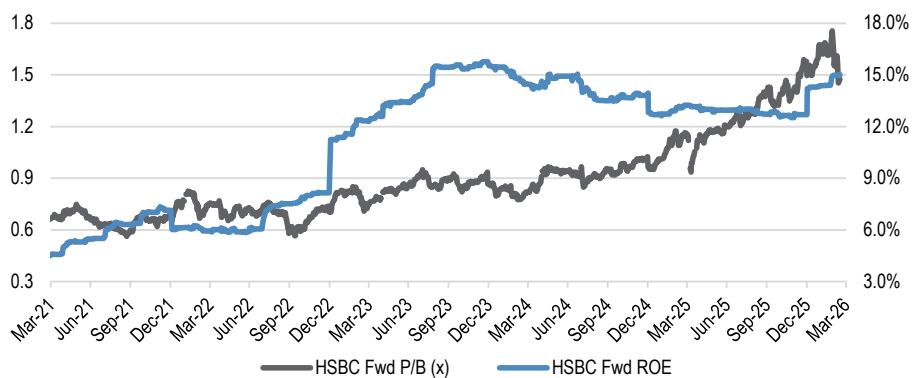
Source: J.P. Morgan estimates.

Figure 1: HSBC ranked the second among Greater China banks for total shareholder return, following STAN



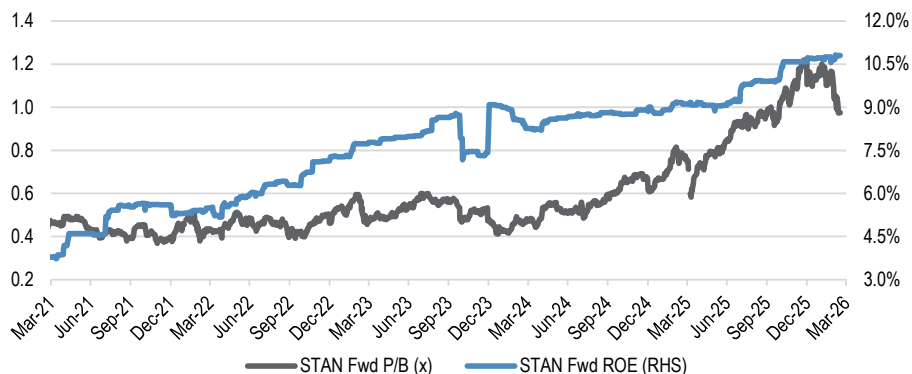
Source: J.P. Morgan estimates, Bloomberg Finance L.P. As of 17 Mar 2026 closing. We only included banks with market cap >US\$10bn.

Figure 2: HSBC traded at 1.5x-1.6x P/B when the forward ROE was around 14.4%



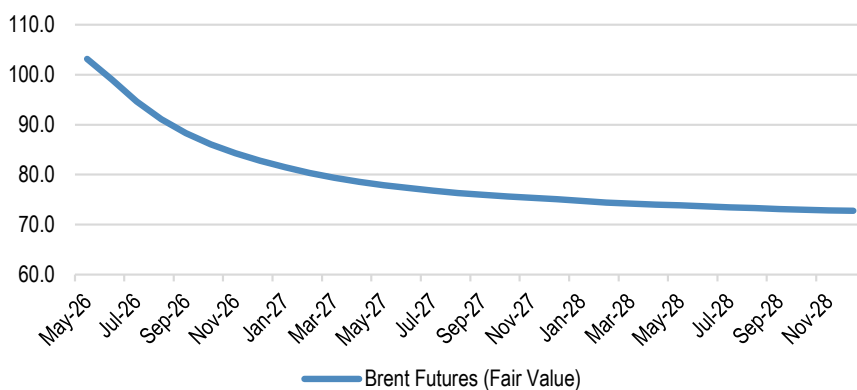
Source: Bloomberg Finance L.P. Note: Based on Bloomberg consensus forward ROE and PB.

Figure 3: STAN traded around 0.9x-1.0x P/B when the forward ROE was around 9.4%



Source: Bloomberg Finance L.P. Note: Based on Bloomberg consensus forward ROE and PB.

Figure 4: Fair value of Brent futures



Source: Bloomberg Finance L.P., as of 17 Mar 2026.

Assessing exposure to the Middle East

We believe the Middle East conflicts could affect HSBC and STAN through the following channels:

- **Direct impact:** This includes asset quality risks on direct loan exposures, as well as lower regional revenue due to reduced capital flows and clients pausing investment decisions.
- **Indirect impact via higher ECL charges:** Elevated energy prices could transmit higher credit risk and lower profitability to energy-sensitive sectors outside the Middle East, including Agriculture, Forestry & Fishing, Manufacturing, Construction, and Transportation & Storage. Aggregate loan exposure to these sectors is 15.9%/13.6% for HSBC/STAN, respectively. Even if borrower credit risk remains contained due to stringent underwriting, banks may record higher management overlays in ECL charges owing to downgraded macro assumptions in their ECL models.
- **Indirect impact to revenue due to risk-off sentiment and central banks' action:** This may result in slower loan growth and reduced transaction banking revenue. The impact on NII is harder to gauge, as growth risks could prompt central banks to cut rates, while inflation pressures from higher energy prices could lead to rate hikes.

On the positive side, Hong Kong could be the medium- to long-term beneficiary as a global financial growth center over the next 5-10 years, supporting deposits growth and wealth income of HSBC and STAN.

Downside to global GDP from higher energy prices

In a scenario where Brent remains elevated at \$80/bbl through mid-year, 1H26 annualized global GDP growth would be dragged by 60bps. In a more severe case with crude prices sustained above \$120/bbl, the drag on annualized global GDP growth in 1H26 could increase to 120bps ([report](#)).

Assessing the downside risks to EPS and ROTE

HSBC disclosed that the Middle East contributed to 3.6% of PBT in 2025, but if we include Egypt, Turkey, Saudi Arabia and associate profits from Saudi Awwal Bank, then the contribution would reach 8.7%. For STAN, the Middle East accounted for 11.9% of Group PBT.

We ran a scenario analysis with the following assumptions:

- For Middle East loan exposure, STAN disclosed that ~73% of ME exposure is to sovereign entities and banks as of end-FY25. Thus, in our analysis, we assume 30% of loans in the ME region see Stage 3 balances rise by 10% with 100% ECL coverage.
- Higher ECL charges via management overlays to reflect a weaker global outlook: HSBC added US\$0.5bn of ECL charges post Liberation Day due to potential global growth slowdown (~5bps of credit cost); we assume a similar \$0.5bn addition this time. STAN did not disclose a management overlay; we assume an incremental 5bps of credit cost, similar to HSBC's assumption.

- We assume PBT from the ME region declines 20% due to slower capital flows and a pause in corporate investment decisions.

Our analysis in

Table 4 indicates a 5%/9% downside to EPS and an 83bps/120bps reduction in ROTE for HSBC/STAN, respectively. This would place HSBC's ROTE at 16.6%, slightly below company guidance of >17% and consensus of 17.5%. STAN's proforma ROTE would be 11.6%, slightly below company guidance of >12%.

Table 2: Quantifying HSBC's exposure to the Middle East

<i>In US\$ mn; as of 2025</i>	Total assets	Total loans (gross)	Revenue	PBT	ECL allowance	LLR/Loans
HSBC Group	3,233,034	999,091	68,274	29,907	10,692	1.1%
HSBC Middle East Limited	64,295	23,372	2,610	1,090	753	3.2%
% of Group	2.0%	2.3%	3.8%	3.6%	NA	NA
HSBC Middle East plus Egypt, Turkey, and Saudi Arabia (incl. profits from associates Saudi Awwal Bank)				2,590		
% of Group				8.7%		

Source: Company data, J.P. Morgan.

Table 3: Quantifying STAN's exposure to the Middle East

<i>In US\$ mn; as of 2025</i>	Total assets	Total loans (gross)	Revenue	PBT
STAN Group	919,955	349,586	20,894	7,900
UAE	22,065	8,715	1,173	562
% of Group	2.4%	2.5%	5.6%	7.1%
Middle East*				943
% of Group				11.9%

Source: Company data, J.P. Morgan estimates. Note: *STAN only have disclosure on UAE exposure in 2025; for Middle East exposure, we referred to STAN's country-by-country disclosures in 2024, and calculated the PBT contribution of UAE, Bahrain, Qatar, Oman, Iraq, Saudi Arabia, Jordan.

Table 4: Quantifying potential downside from the Middle East conflict

In US\$ mn, as of 2026E unless otherwise stated	HSBC	STAN	Calculation	Note
Rise in ECL due to specific provision on Middle East loan exposure				
Loan exposure to the Middle East, 2025	23,372	9,788	a	HSBC disclosed loans in Middle East entity and UAE, with UAE loan accounting for 89% of Middle East loans. While STAN only disclosed loan in UAE of \$8.7bn, and we estimate its Middle East exposure assuming the UAE loan balance was 89% of total, similar to HSBC.
% of Middle East loans at risk	30%	30%	b	We assume 30% of the ME loans would be at risk as STAN discloses 73% of their UAE loans are lent to sovereigns or financial institutions
Loss ratio for loans at risk	10%	10%	c	We assume 10% of the loans at risk would be at loss
Additional ECL charge	701	294	d=a*b*c	
Average gross loans	1,013,404	356,634	e	JPM
Upside on credit costs	7 bps	8 bps	f=d/e	
Rise in ECL due to general provision for weaker global growth outlook				
Additional ECL charges	500	176	g=h*e	HSBC disclosed in 1Q25 that their ECL would increase by \$0.5bn in a downside scenario with slowdown in global growth; for STAN, we assume the credit costs impact would be the same with HSBC
Upside on credit costs	5 bps	5 bps	h=g/e	We assume STAN's credit costs impact from global macro slowdown would be the same with HSBC
Direct impact to Middle East PBT				
2025 Middle East PBT	2,590	943	i	See Table 2-3 for details
Downside on Middle East PBT	(518)	(189)	j=-20%*i	We assume 20% downside from Middle East PBT
Aggregate downside to Group PBT	(1,719)	(658)	k=j-d-g	Additional ECL charge plus Middle East PBT downside
Effective tax rate	20%	28%	l	
Impact to net profits	(1,375)	(474)	m=k*(1-l)	
Base case				
Net profits	28,787	5,042		
ROTE	17.4%	12.8%		
ROE	16.0%	11.0%		
Proforma				
Net profits	27,411	4,568		
ROTE	16.6%	11.6%		
ROE	15.3%	10.0%		
Impact				
Impact to EPS	-4.8%	-9.4%		
Impact to ROTE	-83 bps	-120 bps		
Impact to ROE	-77 bps	-104 bps		

Source: J.P. Morgan estimates. Note: HSBC numbers on underlying basis, while STAN is on reported basis for 2026E.

Assessing risks in private credit

Total global private credit invested assets and dry powder was around \$1.9tn (see JPMC Global Markets Strategy [note](#)) at end-FY25 of which \$1.28bn was drawn, and the private credit risk could spill over to banks via the following channels:

- Loans to non-bank financial institution (NBFI), which are related to finance private credit. Moody's reported that about 25% of NBFIs loans by US banks are related to private credits ([link](#)).
- Banks acting as distribution channels for private credit products, particularly to private-banking or high-net-worth clients. This primarily poses reputational risk; we believe the direct financial impact is limited.
- Exposures to companies that borrow via private credit. If private credit market liquidity dries up, these borrowers could face a liquidity crunch, and some may also have bank borrowings.

Private credit accounts for ~2% of loans for HSBC and 1.2% for STAN as of end 2025. In our analysis below, we assume a 10% credit loss to private credit exposures, which would lead to ~5% downside to EPS.

Table 5: HSBC and STAN's exposure to NBFIs

<i>In US\$ mn; as of 2025</i>	HSBC	STAN	Note
Total loans and advances	999,091	290,849	
Of which: to NBFIs	100,058	37,846	
Private credit exposure as % of NBFIs	20%	9%	For HSBC, we assume private credit exposure accounts for 20% of total NBFI exposure for HSBC; STAN disclosed that the exposure was below \$3.5bn as of end-FY25
Private credit exposures	20,012	3,500	
As % of total loan book	2.0%	1.2%	

Source: Company reports, J.P. Morgan estimates.

Table 6: Sensitivity analysis on ECL charge from private credit exposures

<i>In US\$ mn; as of 2026E unless otherwise stated</i>	HSBC	STAN	Note
Private credit exposure (2025)	20,012	3,500	See Table 5 for details JPM assumptions
Assumed write-down for private credit	10%	10%	
Additional ECL charge	2,001	350	
Effective tax rate	20%	28%	
Impact to net profits	(1,601)	(252)	
Base case			
Net profits	28,787	5,042	
ROTE	17.4%	12.8%	
ROE	16.0%	11.0%	
Proforma			
Net profits	27,186	4,790	
ROTE	16.4%	12.1%	
ROE	15.1%	10.5%	
Impact			
Impact to EPS	-5.6%	-5.0%	
Impact to ROTE	-97 bps	-64 bps	
Impact to ROE	-89 bps	-55 bps	

Source: Company data, J.P. Morgan estimates.

Assessing the banking NII trajectory of HSBC

HSBC guided FY26 NII of above \$45bn, and we project \$45.7bn in our FY26 estimate, which has factored in a buffer for rate movements.

Table 7 shows that, assuming three rate cuts, the impact net of hedges would be - \$1.4bn; on the positive side, there would be \$1.0bn of NII tailwinds from 4% IEA growth, more than offsetting the rate-cut impact. Taking into account the annualized 4Q25 normalized banking NII of \$46.4bn, and the net impact of three rate cuts, hedges, and IEA growth of \$0.4bn, results in banking NII of \$46.0bn, which is above our FY26 banking NII estimate of \$45.7bn.

Table 7: Assessing HSBC's banking NII trajectory

In US\$mn		Calculation	Note
4Q25 Banking NII (excl. \$0.1bn one-off)	11,600	a	Reported
Annualized 4Q25 banking NII	46,400	b=a*4	
Quantifying downside on NII from potential rate movements			
Rate movements			
Banking NII sensitivity to 100bps rate cut	-3,389	c	Disclosed as of FY25
Assumed rate cuts in FY26	-75 bps	d	JPMc - Assume 3 rate cuts in 2026
% of sensitivity driven by short rates	75%	e	JPMc - Assume 75% of sensitivity is driven by short rates, while movement in long rate is limited
Impact of rate movements	-1,906	f=c*d/(-100)*e	
Hedge impact			
Maturing balance	110	g	Company disclosed
Maturing yield	2.70%	h	Company disclosed
Roll on yields (FY26 avg)	3.15%	i	Average of the fwd US 3M yield, assuming 3 rate cuts in 2026 of 75bps in total
Impact of structural hedge roll-over	495	j=g*(i-h)	
Net Banking NII impact	-1,411	k=f+j	
Quantifying upside on NII from IEA growth			
AIEA - 4Q25	2,221,054	m	Reported
Banking NIM - 4Q25 annualized	2.09%	n=b/m	
Banking NIM movements	-6 bps	o=k/m	
Banking NIM - 2026E	2.03%	p=n+o	
AIEA - 2026E	2,270,017	q	JPMc - base case in model
Incremental Banking NII	992	r=(q-m)*p	
2026 Banking NII from rates and IEA movements	45,980	s=b+k+r	
JPMc 2026 Banking NII	45,723	t	vs FY26 guidance of >\$45bn

Source: Company report, J.P. Morgan estimates.

Key estimate changes for HSBC

- **Banking NII forecast at \$45.7bn FY26E**, implying c4% growth in 26E after no growth across FY23-25. Our forecasts assume average US rates of 340bps/325bps in FY26/27E (vs current forward rates of 360bps/340bps) and 1M HIBOR of 240bps/y (vs forward rates of 245bps/246ps) and note that our US Economist does not forecast any further US rate cuts. We expect AIEA growth of 4%/y, led by deposits with the outlook for loan growth muted by recovering by 28E, alongside hedge tailwinds of c\$0.9bn/\$0.2bn 26/27E and turning negative in 28E. As a result, we expect Banking NII to grow +2%/+3% in 27/28E.
- **We forecast Wealth fee growth of +14% in 26E (vs +24% in '25)**, with the Group seeing \$86bn of net new money in FY25 (6% inflow rate, o.w. Asia \$14bn), including deposits, and c1.2M additional HK customers. We expect the structural tailwinds of the Wealth market to continue, with customer growth representing a leading indicator for AUM growth, and the CSM balance of \$14.6bn releasing future Wealth profits.
- **We increase our buyback forecasts to \$6bn/\$11bn/\$11bn for 26-28E given the Group's stronger capital generation.** However, we expect buybacks to be announced with 2Q results at the earliest (vs some market expectations for 1Q) given the uncertainty caused by the war, which we believe will drive management to err on the side of caution. We expect a small increase in impairments in 1Q driven by IFRS9 cyclicalities, while management comments around some credit drawdowns from Middle Eastern clients will drive limited RWA growth, in our view.
- As such, we revise up our Dec-26 PT to HK\$180 from HK\$165 and maintain our OW rating.

Table 8: Summary of HSBC key estimate changes

	FY26E new	FY26E old	% Δ	FY27E new	FY27E old	% Δ	FY28E new	FY28E old	% Δ
Net Interest Income	37,734	35,349	7%	38,925	36,130	8%	40,234	37,411	8%
Non Interest Income	35,747	35,271	1%	37,139	36,237	2%	38,994	37,471	4%
Total clean Revenues	73,482	70,619	4%	76,064	72,367	5%	79,229	74,883	6%
Total clean costs	-34,227	-34,417	-1%	-35,217	-35,307	0%	-36,456	-36,225	1%
Pre Provision Operating profit	39,255	36,202	8%	40,847	37,060	10%	42,773	38,658	11%
Provisions	-4,294	-4,204	2%	-4,225	-4,301	-2%	-4,361	-4,379	0%
Associates and JVs	2,882	2,798	3%	2,854	2,770	3%	2,825	2,743	3%
Clean PBT	37,843	34,796	9%	39,476	35,529	11%	41,237	37,022	11%
Exceptionals ex restructuring	-700	-300		100	0		0	0	
Restructuring	-1,000	-700		-200	-100		-200	-100	
PBT	36,143	33,796	7%	39,376	35,429	11%	41,037	36,922	11%
Tax	-7,229	-6,759	7%	-7,875	-7,086	11%	-8,207	-7,384	11%
Profit after Tax	28,915	27,036	7%	31,501	28,343	11%	32,830	29,537	11%
Minority Interest	-246	-420	-41%	-46	-220	-79%	-46	-220	-79%
Dividend payable on prefs	-1,242	-1,105	12%	-1,304	-1,127	16%	-1,369	-1,150	19%
Net Attributable to ordinary shareholders	27,427	25,512	8%	30,151	26,996	12%	31,414	28,168	12%
Headline EPS	\$ 1.61	\$ 1.49	8%	\$ 1.82	\$ 1.61	13%	\$ 1.98	\$ 1.73	14%
Adjusted EPS	\$ 1.68	\$ 1.53	10%	\$ 1.81	\$ 1.61	13%	\$ 1.97	\$ 1.72	15%
NAVps	\$ 9.96	\$ 9.52	5%	\$ 10.61	\$ 10.15	5%	\$ 11.41	\$ 10.85	5%
RoNAV	17.4%	16.4%	98bps	17.8%	16.5%	131bps	18.1%	6.0%	1208bps
DPS	\$ 0.82	\$ 0.76	9%	\$ 0.90	\$ 0.81	12%	\$ 0.98	\$ 0.87	14%
LLP	0.42%	0.42%	0bps	0.40%	0.42%	-2bps	0.40%	0.42%	-2bps
CET1	14.3%	14.0%	26bps	14.3%	14.3%	8bps	14.3%	14.4%	-7bps
Banking NII	45,723	43,379	5%	46,704	43,963	6%	48,013	45,244	6%
Non-Banking NII income	27,758	27,240	2%	29,360	28,404	3%	31,216	29,638	5%
Retail	1,202	1,216	-1%	1,208	1,235	-2%	1,233	1,253	-2%
Wealth	10,705	10,369	3%	11,804	11,154	6%	13,046	12,000	9%
Wholesale Transaction Banking	11,222	10,909	3%	11,631	11,211	4%	12,071	11,522	5%
IB, Debt and Equity Markets	2,911	2,943	-1%	2,970	2,992	-1%	3,079	3,043	1%
Wholesale Credit and Lending	882	848	4%	902	857	5%	922	866	6%
Other	837	955	-12%	846	955	-11%	866	955	-9%
Loans	1,027,717	999,597	3%	1,058,947	1,028,997	3%	1,099,862	1,059,317	4%
Loan growth	2.9%	1.8%	110bps	3.0%	2.9%	10bps	3.9%	2.9%	92bps
NPL ratio	2.2%	2.4%	-11bps	2.2%	2.3%	-11bps	2.2%	2.3%	-13bps
Cost of Risk (loan impairment/avg assets)	-13bps	-13bps	0bps	-13bps	-13bps	1bps	-13bps	-13bps	1bps
Credit cost (loan impairment/avg loans)	-42bps	-42bps	0bps	-40bps	-42bps	2bps	-40bps	-42bps	2bps
Banking NIM (on AIEA)	2.01%	1.95%	7bps	1.98%	1.92%	7bps	1.96%	1.92%	4bps

Source: J.P. Morgan estimates.

Table 9: Summary of HSBC key forecasts in 2026-2028

	HSBC Group, in US\$m	2024	2025	2026E	2027E	2028E
IS items	Net interest income	32,970	34,794	37,734	38,925	40,234
	Non interest income	34,464	36,226	35,747	37,139	38,994
	Underlying revenues	67,434	71,020	73,482	76,064	79,229
	Underlying costs (inc levy)	(32,810)	(33,464)	(34,227)	(35,217)	(36,456)
	Pre-provision profit	34,624	37,556	39,255	40,847	42,773
	Loan loss provision charge	(3,414)	(3,850)	(4,294)	(4,225)	(4,361)
	Operating profit before tax	31,210	33,706	34,961	36,622	38,412
	Associate income	2,912	2,911	2,882	2,854	2,825
	Clean pretax profit	34,122	36,617	37,843	39,476	41,237
	Banking NII	43,975	44,084	45,723	46,704	48,013
	Fee and other income	23,459	26,936	27,758	29,360	31,216
	o.w. Transaction Banking	10,476	10,918	11,222	11,631	12,071
	o.w. Wealth	7,559	9,390	10,705	11,804	13,046
	o.w. Other	5,424	6,628	5,832	5,925	6,099
BS items	Loans, gross	940,373	999,091	1,027,717	1,058,947	1,099,862
	Deposits	1,654,955	1,786,828	1,866,194	1,941,300	2,019,784
	Total Assets	3,017,048	3,233,034	3,297,695	3,363,649	3,430,922
	Common shareholders' equity	165,903	177,509	181,393	185,423	190,649
Key ratios	DPS (\$)	0.87	0.75	0.82	0.90	0.98
	TNAV/sh (\$)	8.6	9.6	10.0	10.6	11.4
	B3 CET1 ratio	14.9%	14.9%	14.3%	14.3%	14.3%
	Banking NIM	2.09%	2.01%	2.01%	1.98%	1.96%
	Credit Costs	0.36%	0.40%	0.42%	0.40%	0.40%
	ROTE (normalized)	16.0%	17.1%	17.2%	17.8%	18.1%
IS items YoY growth	Net interest income	-10%	6%	8%	3%	3%
	Non interest income	18%	5%	-1%	4%	5%
	Underlying revenues	3%	5%	3%	4%	4%
	Underlying costs (inc levy)	3%	2%	2%	3%	4%
	Pre-provision profit	2%	8%	5%	4%	5%
	Loan loss provision charge	-1%	13%	12%	-2%	3%
	Operating profit before tax	3%	8%	4%	5%	5%
	Associate income	4%	0%	-1%	-1%	-1%
	Clean pretax profit	3%	7%	3%	4%	4%
	Banking NII	0%	0%	4%	2%	3%
	Fee and other income	8%	15%	3%	6%	6%
	o.w. Transaction Banking	-2%	4%	3%	4%	4%
	o.w. Wealth	19%	24%	14%	10%	11%
	o.w. Other	17%	22%	-12%	2%	3%
BS YoY growth	Loans, gross	-1%	6%	3%	3%	4%
	Deposits	3%	8%	4%	4%	4%
	Total Assets	-1%	7%	2%	2%	2%
	Common shareholders' equity	-1%	7%	2%	2%	3%

Source: Company data, J.P. Morgan estimates.

Table 10: HSBC - JPMe vs company compiled consensus

In US\$mn	JPM estimates			Company compiled cons			JPMe vs company compiled cons		
	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Banking NII	45,723	46,704	48,013	45,487	46,567	48,056	1%	0%	0%
Fee and other income	27,758	29,360	31,216	28,017	29,781	31,823	-1%	-1%	-2%
Wholesale transaction banking	11,222	11,631	12,071	11,042	11,405	11,847	2%	2%	2%
Wealth	10,705	11,804	13,046	10,512	11,730	13,103	2%	1%	0%
Others	5,832	5,925	6,099	6,475	6,714	7,014	-10%	-12%	-13%
Underlying revenues	73,482	76,064	79,229	73,505	76,348	79,879	0%	0%	-1%
Underlying costs (inc levy)	(34,227)	(35,217)	(36,456)	(33,846)	(34,832)	(35,852)	1%	1%	2%
Pre-provision profit	39,255	40,847	42,773	39,659	41,516	44,027	-1%	-2%	-3%
Loan loss provision charge	(4,294)	(4,225)	(4,361)	(4,069)	(3,941)	(4,040)	6%	7%	8%
Operating profit before tax	34,961	36,622	38,412	35,590	37,575	39,987	-2%	-3%	-4%
Associate income	2,882	2,854	2,825	2,707	2,801	2,875	6%	2%	-2%
Clean pretax profit	37,843	39,476	41,237	38,296	40,376	42,863	-1%	-2%	-4%
Exceptionals and other one-offs (inc CTA)	(1,700)	(100)	(200)	(1,630)	(385)	(279)			
Pre-tax profit	36,143	39,376	41,037	36,666	39,991	42,584	-1%	-2%	-4%
Tax charge	(7,229)	(7,875)	(8,207)	(7,864)	(8,560)	(9,111)	-8%	-8%	-10%
Net profit after tax	28,915	31,501	32,830	28,802	31,431	33,473	0%	0%	-2%
Net profit attributable	27,427	30,151	31,414	27,460	30,140	32,170	0%	0%	-2%
y/y growth									
Banking NII	3.7%	2.1%	2.8%	3.2%	2.4%	3.2%			
Fee and other income	3.1%	5.8%	6.3%	4.0%	6.3%	6.9%			
Wholesale transaction banking	2.8%	3.6%	3.8%	1.1%	3.3%	3.9%			
Wealth	14.0%	10.3%	10.5%	11.9%	11.6%	11.7%			
Others	-12.0%	1.6%	2.9%	-2.3%	3.7%	4.5%			
Underlying revenues	3.5%	3.5%	4.2%	3.5%	3.9%	4.6%			
Underlying costs (inc levy)	2.3%	2.9%	3.5%	1.1%	2.9%	2.9%			
Pre-provision profit	4.5%	4.1%	4.7%	5.6%	4.7%	6.0%			
Loan loss provision charge	11.5%	-1.6%	3.2%	5.7%	-3.1%	2.5%			
Operating profit before tax	3.7%	4.8%	4.9%	5.6%	5.6%	6.4%			
Clean pretax profit	3.3%	4.3%	4.5%	4.6%	5.4%	6.2%			
Total loan (net)	1,027,717	1,058,947	1,099,862	1,020,600	1,052,500	1,087,300	1%	1%	1%
Loan growth	2.9%	3.0%	3.9%	2.2%	3.1%	3.3%			
Total deposits	1,866,194	1,941,300	2,019,784	1,862,100	1,933,400	2,000,300	0%	0%	1%
Reported NIM	1.66%	1.65%	1.64%	NA	NA	NA	NA	NA	NA
Banking NIM	2.01%	1.98%	1.96%	NA	NA	NA			
Credit costs	0.42%	0.40%	0.40%	0.40%	0.38%	0.38%	2 bps	2 bps	3 bps
CET1 ratio	14.3%	14.3%	14.3%	14.2%	14.3%	14.4%	8 bps	4 bps	-11 bps
Normalized ROE	16.0%	16.5%	16.8%	16.1%	16.5%	16.9%			
Normalized ROTE	17.4%	17.8%	18.1%	17.5%	17.8%	18.2%	-11 bps	-3 bps	-12 bps
DPS	0.82	0.90	0.98	0.83	0.91	1.00	-1%	-1%	-2%
Share buyback	6,000	11,000	11,000	4,327	9,513	10,859			
Total shareholder return	7.3%	9.5%	9.4%						

Source: J.P. Morgan estimates, Company compiled consensus as of 17 Mar 2026.

HSBC Holdings plc (0005)

Overweight

0005.HK,5 HK

Price (17 Mar 26): HK\$124.80

▲ **Price Target (Dec-26): HK\$180.00**
Prior (Dec-26): HK\$165.00

Hong Kong

Banks & Financial Services

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J.P. Morgan Securities (Asia Pacific) Limited/
J.P. Morgan Broking (Hong Kong) Limited

Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (\$)	1.53	1.68	9.9%
Adj. EPS - 27E (\$)	1.61	1.81	12.9%

Quarterly Forecasts (FYE Dec)

Adj. EPS (\$)	2025A	2026E	2027E
Q1			
Q2			
Q3			
Q4			
FY	1.55	1.68	1.81

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	51	53	51	58	71
Growth	43	61	41	62	89
Momentum	13	49	22	9	30
Quality	25	41	19	70	78
Low Vol	18	10	3	25	27

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

Model updates

- **Banking NII forecast at \$45.7bn FY26E**, implying c4% growth in 26E after no growth across FY23-25. Our forecasts assume average US rates of 340bps/325bps in FY26/27E (vs current forward rates of 360bps/340bps) and 1M HIBOR of 240bps/y (vs forward rates of 245bps/246ps) and note that our US Economist does not forecast any further US rate cuts. We expect AIEA growth of 4%/y, led by deposits with the outlook for loan growth muted by recovering by 28E, alongside hedge tailwinds of c\$0.9bn/\$0.2bn 26/27E and turning negative in 28E. As a result, we expect Banking NII to grow +2%/+3% in 27/28E.
- **We forecast Wealth fee growth of +14% in 26E (vs +24% in '25)**, with the Group seeing \$86bn of net new money in FY25 (6% inflow rate, o.w. Asia \$14bn), including deposits, and c1.2M additional HK customers. We expect the structural tailwinds of the Wealth market to continue, with customer growth representing a leading indicator for AUM growth, and the CSM balance of \$14.6bn releasing future Wealth profits.
- **We increase our buyback forecasts to \$6bn/\$11bn/\$11bn for 26-28E given the Group's stronger capital generation.** However, we expect buybacks to be announced with 2Q results at the earliest (vs some market expectations for 1Q) given the uncertainty caused by the war which we believe will drive management to err on the side of caution. We expect a small increase in impairments in 1Q driven by IFRS9 cyclicality, while management comments around some credit drawdowns from Middle Eastern clients will drive limited RWA growth, in our view.

Price Performance



	YTD	1m	3m	12m
Abs	2.0%	-7.0%	6.2%	42.4%
Rel	1.1%	-3.9%	4.6%	35.2%

Company Data

Shares O/S (mn)	17,430
52-week range (HK\$)	148.00-70.05
Market cap (\$ mn)	277,801
Exchange rate	7.83
Free float (%)	99.9%
3M ADV (mn)	16.57
3M ADV (\$ mn)	279.3
Volatility (90 Day)	30
Index	HSI
BBG ANR (Buy Hold Sell)	6 15 8

Key Metrics (FYE Dec)

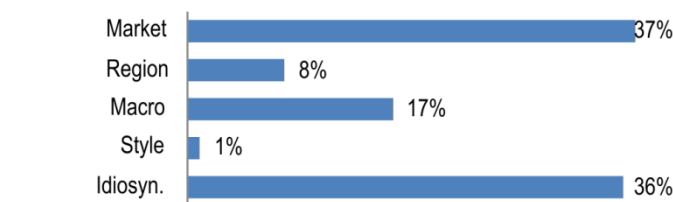
\$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Net interest income	34,794	37,734	38,925	40,234
Non interest income	36,226	35,747	37,139	38,994
Operating expenses	(33,464)	(34,227)	(35,217)	(36,456)
Adj. PPOP	37,556	39,255	40,847	42,773
Provision for loan losses	(3,850)	(4,294)	(4,225)	(4,361)
Adj. PBT	36,617	37,843	39,476	41,237
Adj. net income	27,265	28,787	30,231	31,574
Adj. EPS	1.55	1.68	1.81	1.97
BBG EPS	-	-	-	-
DPS	0.75	0.82	0.90	0.98
Loans	988,399	1,016,811	1,047,824	1,088,515
Deposits	1,786,828	1,866,194	1,941,300	2,019,784
Total Assets	3,233,034	3,297,695	3,363,649	3,430,922
Margins and Growth				
NIM	1.6%	1.7%	1.7%	1.6%
Ratios				
Loan/ Deposit ratio	55.3%	54.5%	54.0%	53.9%
NPL / Loans	2.3%	2.2%	2.2%	2.2%
Coverage	47.3%	47.3%	28.3%	29.1%
CET 1	14.9%	14.3%	14.3%	14.3%
Non-int. income/ Income	51.0%	48.6%	48.8%	49.2%
Cost/Income	47.1%	46.6%	46.3%	46.0%
LLP/Loans	(0.4%)	(0.4%)	(0.4%)	(0.4%)
ROA	0.9%	0.9%	0.9%	0.9%
ROE	15.9%	16.0%	16.5%	16.8%
Valuation				
Dividend yield	4.7%	5.1%	5.7%	6.2%
Adj. P/E	10.3	9.5	8.8	8.1
P/ BV	1.5	1.5	1.4	1.3

Summary Investment Thesis and Valuation

HSBC's self-help programs in the past decade have lifted normalized and through-the-cycle RoTE from 8% to 17%. This means that the adjusted dividend yield (including share buybacks [SBB]) will stay at ~8% after the rate cycle, on our estimates. Despite a three-quarter suspension in buybacks due to HSB privatization, we estimate HSBC's 2026-28 total shareholder return yield at 8-10% each year, the highest among our bank sector coverage in the Greater China region. We see declines in revenue in the medium term as a result of business disposals as well as rate cuts and loan growth also under pressure, but fee income will likely provide some support, given strong momentum in Transaction Banking and Wealth. The group's restructuring plan could benefit on the cost side, depending on scale. We expect 2026/27/28 RoTE (excluding notable items) to be 17.4%/17.8%/18.1%, broadly in line with HSBC's above 17% guidance. We rate HSBC Overweight.

Our Dec-26 PT of HK\$180 is based on our DDM analysis, with NAV discounted back to Dec-26 from FY28E and a fair P/B of 2.0x. Our key assumptions are a normalized ROE of 15.6%, a long-term growth rate of 2.4% and a cost of capital of 9.1%.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.67	0.63
Region: Hong Kong	0.27	0.40
Macro:		
HSI Volatility Index	-0.30	-0.45
JPM China A-shares Sentiment	0.01	-0.33
US 10 Year Yield	0.46	-0.30
Quant Styles:		
Value	0.06	0.17
Quality	-0.26	-0.13
DivYld	0.04	0.11

Investment Thesis, Valuation and Risks

HSBC Holdings plc (*Overweight; Price Target: HK\$180.00*)

Investment Thesis

HSBC's self-help programs in the past decade have lifted normalized and through-the-cycle RoTE from 8% to 17%. This means that the adjusted dividend yield (including share buybacks [SBB]) will stay at ~8% after the rate cycle, on our estimates. Despite a three-quarter suspension in buybacks due to HSB privatization, we estimate HSBC's 2026-28 total shareholder return yield at 8-10% each year, the highest among our bank sector coverage in the Greater China region. We see declines in revenue in the medium term as a result of business disposals as well as rate cuts and loan growth also under pressure, but fee income will likely provide some support, given strong momentum in Transaction Banking and Wealth. The group's restructuring plan could benefit on the cost side, depending on scale. We expect 2026/27/28 RoTE (excluding notable items) to be 17.4%/17.8%/18.1%, broadly in line with HSBC's above 17% guidance. We rate HSBC Overweight.

Valuation

Our Dec-26 PT of HK\$180 is based on our DDM analysis, with NAV discounted back to Dec-26 from FY28E and a fair P/B of 2.0x. Our key assumptions are a normalized ROE of 15.6%, a long-term growth rate of 2.4% and a cost of capital of 9.1%.

Risks to Rating and Price Target

Key downside risks include:

- **Macroeconomic risks:** HSBC is exposed to GDP growth in Hong Kong SAR, Mainland China and the UK, as well as FX and cross-border/political risks, which could pose downside risks. Similarly, the global interest rate and inflation outlook could impact group margins, which may differ from our expectations.
- **EM outlook:** We expect the asset quality outlook to deteriorate and forecast CoR growth above normalized levels in the medium term – although we see both upside and downside risks to this. This includes specific areas such as China CRE, where the group has a large unsecured exposure, and Hong Kong CRE, where the portfolio has seen sharp deterioration.
- **Regulatory risks:** Regulatory risks include Basel 4, performance in BoE stress tests/*Comprehensive Capital Analysis and Review* (CCAR) and changes in capital regime.

HSBC Holdings plc (0005): Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E	Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E
Interest income	32,970	34,794	37,734	38,925	40,234	Cash and cash equivalents	664,555	693,776	693,776	693,776	693,776
Interest expense	-	-	-	-	-	Deposits with banks	-	-	-	-	-
Net interest income	32,970	34,794	37,734	38,925	40,234	Net loans	930,658	988,399	1,016,811	1,047,824	1,088,515
Non interest income	34,464	36,226	35,747	37,139	38,994	PP&E	0	0	0	0	0
o/w Fee income	-	-	-	-	-	Net intangibles	12,384	13,107	13,238	13,370	13,504
o/w Trading income	(4,869)	(5,368)	(5,797)	(6,087)	(6,453)	LT investments	-	-	-	-	-
Net revenues	67,434	71,020	73,482	76,064	79,229	Other assets	1,409,451	1,537,752	1,573,870	1,608,679	1,635,126
Non interest expense	(32,810)	(33,464)	(34,227)	(35,217)	(36,456)	Total assets	3,017,048	3,233,034	3,297,695	3,363,649	3,430,922
o/w Employee costs	-	-	-	-	-	Interest earning assets	-	-	-	-	-
Pre-Prov. Profits	34,624	37,556	39,255	40,847	42,773	Deposits	1,654,955	1,786,828	1,866,194	1,941,300	2,019,784
Provisions	(3,414)	(3,850)	(4,294)	(4,225)	(4,361)	Borrowings	248,033	248,033	248,033	248,033	248,033
Adj. PBT	34,122	36,617	37,843	39,476	41,237	Other liabilities	921,787	992,507	980,917	941,778	925,341
Income taxes	(7,310)	(6,776)	(7,229)	(7,875)	(8,207)	Total liabilities	2,824,775	3,027,368	3,095,145	3,157,069	3,219,116
Minority interest	(1,020)	(846)	(246)	(46)	(46)	Shareholder equity	165,903	177,509	181,393	185,423	190,649
Adj. Net profit	25,216	27,265	28,787	30,231	31,574	Minority interests	26,370	28,157	21,157	21,157	21,157
PPOP per share	1.89	2.16	2.31	2.47	2.70	Total liabilities and Shareholder equity	3,017,048	3,233,034	3,297,695	3,363,649	3,430,922
Reported EPS	1.24	1.20	1.60	1.81	1.96	Interest bearing liabilities	-	-	-	-	-
Adj. EPS	1.36	1.55	1.68	1.81	1.97	Book Value Per Share	9.26	10.36	10.74	11.44	12.28
DPS	0.87	0.75	0.82	0.90	0.98	Tangible Book Value Per Share	10.32	11.56	11.97	10.61	11.41
Diluted shares outstanding	18,485	17,547	17,135	16,671	15,988						
Balance Sheet Gearing	FY24A	FY25A	FY26E	FY27E	FY28E	Asset Quality/Capital	FY24A	FY25A	FY26E	FY27E	FY28E
Loans/Deposits	56.2%	55.3%	54.5%	54.0%	53.9%	Loan loss reserves/Loans	(1.0%)	(1.1%)	(1.1%)	(0.6%)	(0.6%)
Investment/Assets	-	-	-	-	-	NPLs/Loans	2.4%	2.3%	2.2%	2.2%	2.2%
Loan/Assets	31.3%	30.0%	30.7%	31.0%	31.5%	Loan loss reserves/NPLs	49.6%	45.1%	47.3%	37.7%	28.7%
Customer deposits/Liabilities	58.6%	59.0%	60.3%	61.5%	62.7%	NPL y/y growth	17.3%	0.0%	2.0%	2.0%	2.0%
LT debt/Liabilities	4.4%	4.5%	4.3%	4.2%	4.1%	Tier 1 ratio	17.2%	17.1%	16.4%	16.4%	16.3%
						CAR	-	-	-	-	-
Ratio Analysis (%)	FY24A	FY25A	FY26E	FY27E	FY28E	Ratio Analysis (%)	FY24A	FY25A	FY26E	FY27E	FY28E
Net interest margin	1.6%	1.6%	1.7%	1.7%	1.6%	Return on equity (ROE)	15.1%	15.9%	16.0%	16.5%	16.8%
Non interest income/Net revenue	51.1%	51.0%	48.6%	48.8%	49.2%	Return on assets (ROA)	0.8%	0.9%	0.9%	0.9%	0.9%
Non interest income/Avg. Assets	1.1%	1.2%	1.1%	1.1%	1.1%	Operating ROA	1.0%	1.1%	1.1%	1.1%	1.1%
Efficiency ratio	48.7%	47.1%	46.6%	46.3%	46.0%	Pre-Tax ROA	1.1%	1.0%	1.1%	1.2%	1.2%
Leverage ratio	4.8%	4.9%	4.5%	4.6%	4.6%	Pre-Provision ROA	1.1%	1.2%	1.2%	1.2%	1.3%
Revenue/Assets	2.2%	2.3%	2.3%	2.3%	2.3%	Tax rate	22.6%	22.7%	20.0%	20.0%	20.0%
RORWA	3.0%	3.2%	3.2%	3.3%	3.4%						
RWA	838,254	888,647	904,448	924,175	953,452	Net loans y/y growth	(0.8%)	6.2%	2.9%	3.0%	3.9%
Avg. RWA	846,184	863,451	896,548	914,312	938,813	Assets y/y growth	(0.7%)	7.2%	2.0%	2.0%	2.0%
Avg. IEA	2,099,285	2,190,078	2,270,017	2,353,429	2,447,086	RWA y/y growth	(1.9%)	6.0%	1.8%	2.2%	3.2%
Gross Loans	940,373	999,091	1,027,717	1,058,947	1,099,862	Deposits y/y growth	2.7%	8.0%	4.4%	4.0%	4.0%
Avg. IBL	-	-	-	-	-	Net interest income y/y growth	(9.9%)	5.5%	8.5%	3.2%	3.4%
LLR	(9,715)	(10,692)	(10,906)	(6,659)	(6,992)	Revenues y/y growth	2.6%	5.3%	3.5%	3.5%	4.2%
NPLs	22,615	22,615	23,067	23,529	23,999	Adj. EPS y/y growth	9.4%	13.9%	8.1%	7.9%	8.9%
P/BV (x)	1.7	1.5	1.5	1.4	1.3	BVPS y/y growth	5.0%	11.9%	3.7%	6.5%	7.4%
Adj. P/E (x)	11.7	10.3	9.5	8.8	8.1	IE assets/Assets	69.6%	67.7%	68.8%	70.0%	71.3%
Dividend yield	5.5%	4.7%	5.1%	5.7%	6.2%	Margins (as % of Avg. Assets)	-	-	-	-	-
Dividend payout	70.2%	62.4%	51.3%	49.9%	50.1%	LLP/Loans	(0.4%)	(0.4%)	(0.4%)	(0.4%)	(0.4%)
						Equity/Assets	-	-	-	-	-
						Cost/Assets	1.1%	1.1%	1.0%	1.1%	1.1%
						Assets/Equity	18.2	18.2	18.2	18.2	18.1

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Dec

Standard Chartered Plc (HK) (2888)

Overweight

2888.HK, 2888 HK

Price (17 Mar 26): HK\$165.00

Price Target (Dec-26): HK\$270.00

Hong Kong

Banks & Financial Services

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J.P. Morgan Broking (Hong Kong) Limited

Quarterly Forecasts (FYE Dec)

Adj. EPS (\$)	2025A	2026E	2027E
Q1			
Q2			
Q3			
Q4			
FY	2.18	2.27	2.73

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	31	35	34	31	31
Growth	25	39	61	30	83
Momentum	33	23	11	5	63
Quality	11	78	89	42	89
Low Vol	31	26	21	33	63

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

Assessing risks from the Middle East and private credit

- Assessing downside risks from Middle East conflicts:** For STAN, the Middle East accounted for 11.9% of PBT in 2024. Our stress test assumptions include: (a) a 5bps increase in credit cost from management overlays due to global macro risks; (b) a 10% loss ratio on Middle East loans (excluding government and bank exposures); and (c) a 20% downside to PBT from the Middle East. The aggregate negative impact on 2026E EPS is estimated at -14% for STAN.
- Assessing downside risks from private credits:** Private credit exposure via non-bank financial institutions (NBFIs) accounts for 1.2% of STAN's loan books. In our stress analysis, a 10% loss ratio would reduce 2026E EPS by 5% for STAN.
- There is greater potential for both upside and downside in STAN's share price,** given its higher exposure to the Middle East, as well as emerging Asian economies, which are more sensitive to a surge in energy prices. Additionally, STAN's management is expected to update the market on its new three-year ROTE targets in May, whereas HSBC has already provided its medium-term ROTE guidance in February. As a result, STAN has more potential catalysts for share price movement in the near term compared to HSBC.

Price Performance



— 2888.HK Price (HK\$)— HSI (rebased)

	YTD	1m	3m	12m
Abs	-12.6%	-11.3%	-10.4%	39.6%
Rel	-13.5%	-8.2%	-11.9%	32.5%

Company Data

Shares O/S (mn)	2,322
52-week range (HK\$)	206.00-86.25
Market cap (\$ mn)	48,929
Exchange rate	7.83
Free float (%)	100.0%
3M ADV (mn)	1.23
3M ADV (\$ mn)	29.7
Volatility (90 Day)	33
Index	HSI
BBG ANR (Buy Hold Sell)	16 6 4

Key Metrics (FYE Dec)

\$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Net interest income	11,185	11,205	11,451	11,927
Non interest income	9,709	10,743	11,652	12,368
Operating expenses	(12,347)	(13,305)	(13,325)	(13,706)
Adj. PPOP	8,547	8,643	9,778	10,590
Provision for loan losses	(676)	(903)	(1,032)	(1,160)
Adj. PBT	7,900	7,789	8,793	9,474
Adj. net income	5,244	5,042	5,842	6,328
Adj. EPS	2.18	2.27	2.73	3.08
BBG EPS	-	-	-	-
DPS	0.61	0.80	0.96	1.08
Loans	286,788	298,353	310,550	323,457
Deposits	530,161	570,805	604,501	632,344
Total Assets	919,955	957,380	996,748	1,038,413
Margins and Growth				
NIM	2.0%	1.9%	1.9%	1.9%
Ratios				
Loan/ Deposit ratio	54.1%	52.3%	51.4%	51.2%
NPL / Loans	2.1%	2.0%	2.0%	1.9%
Coverage	51.8%	51.8%	51.8%	51.8%
CET 1	14.1%	13.8%	13.9%	14.0%
Non-int. income/ Income	46.5%	48.9%	50.4%	50.9%
Cost/Income	59.1%	60.6%	57.7%	56.4%
LLP/Loans	(0.2%)	(0.3%)	(0.3%)	(0.4%)
ROA	0.6%	0.5%	0.6%	0.6%
ROE	11.5%	10.7%	12.0%	12.4%
Valuation				
Dividend yield	2.9%	3.8%	4.5%	5.1%
Adj. P/E	9.7	9.3	7.7	6.9
P/ BV	1.0	0.9	0.9	0.8

Summary Investment Thesis and Valuation

We view StanChart as undervalued relative to the sector/EM peers at 1.2x PTNAV 27E with significant earnings growth potential supported by structural growth drivers and relatively high capital return. With the Group's 24-26E targets already achieved by FY25 across revenues and distributions, we now forecast c5% revenue growth CAGR across '25-28E driven by non-NII in 26E, and broadening out to both NII/non-NII in outer years. We see this led by Wealth (driven by Affluent segment opportunities), Financial Markets (alongside cross-border income) and Banking. We expect NII to be flat in FY26E y/y due to lower rates and pass throughs offset by volume growth. We expect cost growth at a c3.5% CAGR 25-28E as we expect growing investments in the future to capitalise on productivity and revenue opportunities, with positive operating leverage expected annually and the CIR to decline towards mid-50s. Overall, we expect stated ROTE to grow to c15%, alongside a 35% dividend payout ratio and \$2bn/y buybacks, offering a total yield of 7-8%/y.

Our Dec-26 PT of HK\$270 is derived from our DDM analysis with NAV discounted back to Dec-26 from FY28E and a fair P/B of 1.5x. Our key assumptions are a normalized ROE of 11.9% and a cost of capital of 9.3%.

Performance Drivers

Market	29%
Region	10%
Macro	20%
Style	2%
Idiosyn.	37%

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.52	0.57
Region: Hong Kong	0.35	0.42
Macro:		
HSI Volatility Index	-0.52	-0.49
US 10 Year Yield	0.22	-0.33
Generic 1st 'CO' Future	0.10	0.31
Quant Styles:		
Quality	0.01	-0.13
Momentum	0.07	0.09
Growth	-0.02	0.03

Investment Thesis, Valuation and Risks

Standard Chartered Plc (HK) (*Overweight; Price Target: HK\$270.00*)

Investment Thesis

We view StanChart as undervalued relative to the sector/EM peers at 1.2x PTNAV 27E with significant earnings growth potential supported by structural growth drivers and relatively high capital return. With the Group's 24-26E targets already achieved by FY25 across revenues and distributions, we now forecast c5% revenue growth CAGR across '25-28E driven by non-NII in 26E, and broadening out to both NII/non-NII in outer years. We see this led by Wealth (driven by Affluent segment opportunities), Financial Markets (alongside cross-border income) and Banking. We expect NII to be flat in FY26E y/y due to lower rates and pass throughs offset by volume growth. We expect cost growth at a c3.5% CAGR 25-28E as we expect growing investments in the future to capitalise on productivity and revenue opportunities, with positive operating leverage expected annually and the CIR to decline towards mid-50s. Overall, we expect stated ROTE to grow to c15%, alongside a 35% dividend payout ratio and \$2bn/y buybacks, offering a total yield of 7-8%/y. Maintain OW.

Valuation

Our Dec-26 PT of HK\$270 is derived from our DDM analysis with NAV discounted back to Dec-26 from FY28E and a fair P/B of 1.5x. Our key assumptions are a normalized ROE of 11.9% and a cost of capital of 9.3%.

Risks to Rating and Price Target

The key downside risks to our rating and price target include:

- **Macroeconomic risks:** Being an EM-focused bank, StanChart is exposed to general macroeconomic risk in EM such as slowdowns, inflationary pressures, depreciation of EM currencies and cross-border and political risks. Potential weakness in China macro and regional sovereign continue to be risks towards revenues and impairments in the near term, as well as geopolitical tensions creating a potential headwind.
- **Provisioning outlook:** We expect provisions to grow to above normalized levels by 2025 given growing pressures in the economic environment. An increase or decrease in provisions as a result of the economic outlook or with regards to specific cases poses a risk to our forecasts.
- **Regulatory uncertainty:** Standard Chartered remains exposed to the changes in the regulatory environment in the UK with capital requirements being set by the PRA in the UK. While StanChart has limited UK exposure, the group is still subject to regulatory changes such as Basel 4 and BoE stress tests.

Standard Chartered Plc (HK) (2888): Summary of Financials

Income Statement						Balance Sheet					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Interest income	11,096	11,185	11,205	11,451	11,927	Cash and cash equivalents	48,168	48,168	48,168	48,168	48,168
Interest expense	-	-	-	-	-	Deposits with banks	58,872	58,872	58,872	58,872	58,872
Net interest income	11,096	11,185	11,205	11,451	11,927	Net loans	281,032	286,788	298,353	310,550	323,457
Non interest income	8,305	9,709	10,743	11,652	12,368	PP&E	2,425	2,425	2,425	2,425	2,425
o/w Fee income	-	-	-	-	-	Net intangibles	5,791	6,231	6,418	6,610	6,809
o/w Trading income	0	0	0	0	0	LT investments	404,628	468,699	494,372	521,350	549,911
Net revenues	19,401	20,894	21,948	23,103	24,296	Other assets	48,772	48,772	48,772	48,772	48,772
Non interest expense	(11,790)	(12,347)	(13,305)	(13,325)	(13,706)	Total assets	849,688	919,955	957,380	996,748	1,038,413
o/w Employee costs	-	-	-	-	-	Interest earning assets	400,674	407,310	419,248	431,831	445,134
Pre-Prov. Profits	7,611	8,547	8,643	9,778	10,590	Deposits	464,489	530,161	570,805	604,501	632,344
Provisions	(1,145)	(718)	(923)	(1,052)	(1,180)	Borrowings	66,359	67,907	67,730	67,550	67,366
Adj. PBT	6,516	7,900	7,789	8,793	9,474	Other liabilities	274,058	274,829	270,462	274,401	286,109
Income taxes	(1,972)	(1,866)	(2,181)	(2,374)	(2,558)	Total liabilities	804,906	872,897	908,998	946,452	985,820
Minority interest	8	(12)	(13)	(13)	(13)	Shareholder equity	44,388	46,593	47,917	49,831	52,128
Adj. Net profit	3,930	5,244	5,042	5,842	6,328	Minority interests	394	465	465	465	465
PPOP per share	2.99	3.66	3.93	4.64	5.22	Total liabilities and Shareholder equity	849,688	919,955	957,380	996,748	1,038,413
Reported EPS	1.38	1.90	2.27	2.73	3.08	Interest bearing liabilities	-	-	-	-	-
Adj. EPS	1.51	2.18	2.27	2.73	3.08	Book Value Per Share	18.43	20.74	22.32	24.11	26.24
DPS	0.37	0.61	0.80	0.96	1.08	Tangible Book Value Per Share	14.99	16.77	18.45	19.89	21.72
Diluted shares outstanding	2,610	2,404	2,218	2,138	2,058						
Balance Sheet Gearing						Asset Quality/Capital					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Loans/Deposits	60.5%	54.1%	52.3%	51.4%	51.2%	Loan loss reserves/Loans	(1.4%)	(1.1%)	(1.0%)	(1.0%)	(1.0%)
Investment/Assets	45.7%	49.4%	51.3%	52.0%	52.6%	NPLs/Loans	2.2%	2.1%	2.0%	2.0%	1.9%
Loan/Assets	34.6%	32.6%	31.6%	31.6%	31.6%	Loan loss reserves/NPLs	61.6%	57.8%	51.8%	51.8%	51.8%
Customer deposits/Liabilities	57.7%	60.7%	62.8%	63.9%	64.1%	NPL y/y growth	(14.2%)	(3.9%)	1.0%	2.0%	2.0%
LT debt/Liabilities	8.1%	8.0%	7.6%	7.3%	7.0%	Tier 1 ratio	16.9%	16.6%	16.6%	16.5%	16.5%
						CAR	-	-	-	-	-
Ratio Analysis (%)						Ratio Analysis (%)					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Net interest margin	2.1%	2.0%	1.9%	1.9%	1.9%	Return on equity (ROE)	8.8%	11.5%	10.7%	12.0%	12.4%
Non interest income/Net revenue	42.8%	46.5%	48.9%	50.4%	50.9%	Return on assets (ROA)	0.5%	0.6%	0.5%	0.6%	0.6%
Non interest income/Avg. Assets	1.0%	1.1%	1.1%	1.2%	1.2%	Operating ROA	0.8%	0.9%	0.8%	0.9%	0.9%
Efficiency ratio	60.8%	59.1%	60.6%	57.7%	56.4%	Pre-Tax ROA	0.8%	0.8%	0.8%	0.9%	0.9%
Leverage ratio	5.0%	4.9%	4.8%	4.8%	4.8%	Pre-Provision ROA	0.9%	1.0%	0.9%	1.0%	1.0%
Revenue/Assets	2.3%	2.4%	2.3%	2.4%	2.4%	Tax rate	32.8%	26.8%	28.0%	27.0%	27.0%
RORWA	1.6%	2.1%	1.9%	2.1%	2.2%						
						Net loans y/y growth	(2.1%)	2.0%	4.0%	4.1%	4.2%
RWA	247,065	258,031	269,862	282,227	295,219	Assets y/y growth	3.3%	8.3%	4.1%	4.1%	4.2%
Avg. RWA	245,608	252,548	263,947	276,045	288,723	RWA y/y growth	1.2%	4.4%	4.6%	4.6%	4.6%
Avg. IEA	407,963	403,992	413,279	425,540	438,483	Deposits y/y growth	(1.1%)	14.1%	7.7%	5.9%	4.6%
Gross Loans	285,936	290,849	302,454	314,734	327,724	Net interest income y/y growth	8.2%	0.8%	0.2%	2.2%	4.2%
Avg. IBL	0	0	0	0	0	Revenues y/y growth	11.6%	7.7%	5.0%	5.3%	5.2%
LLR	(3,948)	(3,087)	(3,118)	(3,180)	(3,244)	Adj. EPS y/y growth	25.3%	44.9%	4.2%	20.2%	12.5%
NPLs	6,203	5,964	6,024	6,144	6,267	BVPS y/y growth	9.4%	12.5%	7.6%	8.0%	8.8%
P/BV (x)	1.1	1.0	0.9	0.9	0.8	IE assets/Assets	48.8%	45.7%	44.0%	43.6%	43.1%
Adj. P/E (x)	14.0	9.7	9.3	7.7	6.9	Margins (as % of Avg. Assets)	1.3%	1.3%	1.2%	1.2%	1.2%
Dividend yield	1.8%	2.9%	3.8%	4.5%	5.1%	LLP/Loans	(0.2%)	(0.2%)	(0.3%)	(0.3%)	(0.4%)
Dividend payout	26.9%	32.3%	35.0%	35.0%	35.0%	Equity/Assets	5.3%	5.1%	5.0%	5.0%	5.0%
						Cost/Assets	1.4%	1.4%	1.4%	1.4%	1.3%
						Assets/Equity	18.8	19.5	19.9	20.0	20.0

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data).Fiscal year ends Dec

Correction: Company names updated in Figure 1 and disclosures updated.

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HSBC Holdings plc (0005) (0005.HK, 5 HK) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Dec 31, 2000. All share prices are as of market close on the previous business day.

Date	Rating	Price (HK\$)	Price Target (HK\$)
18-Apr-23	N	56.90	61
07-Jul-23	N	61.00	66
07-Aug-23	OW	63.85	80
16-Oct-23	OW	62.50	81
31-Oct-23	OW	57.20	83
17-Jan-24	OW	59.10	81
22-Feb-24	OW	60.25	74
10-Apr-24	OW	63.90	78
02-May-24	OW	67.00	83
06-Aug-24	OW	62.05	86
19-Nov-24	OW	70.55	90
17-Feb-25	OW	84.50	95
20-Feb-25	OW	88.40	108
20-Mar-25	OW	89.75	115
05-May-25	OW	86.20	108
22-Jul-25	OW	98.45	118
01-Aug-25	OW	96.15	122
30-Oct-25	OW	106.50	132
02-Dec-25	OW	110.50	138
05-Feb-26	OW	139.00	165
18-Mar-26	OW	124.80	180

Standard Chartered Plc (HK) (2888) (2888.HK, 2888 HK) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Sep 24, 2002. All share prices are as of market close on the previous business day.

Date	Rating	Price (HK\$)	Price Target (HK\$)
18-Apr-23	OW	63.05	78
28-Apr-23	OW	61.95	80
07-Jul-23	OW	66.55	83
01-Aug-23	OW	74.25	90
07-Sep-23	OW	69.20	91
27-Oct-23	OW	59.75	83
16-Jan-24	OW	61.55	79
18-Jan-24	OW	57.35	78
28-Feb-24	OW	63.35	80
10-Apr-24	OW	68.25	82
03-May-24	OW	71.95	86
31-Jul-24	OW	76.90	94
04-Dec-24	OW	96.80	112
17-Feb-25	OW	108.20	120
24-Feb-25	OW	116.00	135
22-Jul-25	OW	141.30	148
04-Aug-25	OW	141.30	162
19-Oct-25	OW	142.00	168
03-Nov-25	OW	157.80	190
05-Feb-26	OW	203.40	265
01-Mar-26	OW	198.50	270

The chart(s) show J.P. Morgan's continuing coverage of the stocks; the current analysts may or may not have covered it over the entire period.

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